Memorandum

To: Managing Director and CEO, HDFC Bank (hypothetical addressee)
From: Anklesh
Date: 4 November 2026
Subject: Getting standalone RoA back to 2% by FY29

The answer

HDFC Bank can be back above 2% RoA by FY29, but the base case will not get it there and the share price already assumes it will. On current drivers RoA recovers only to 1.89% by FY29E. Six management levers add 14 bp, to 2.03%. The market price of ₹700 implies a 16.7% RoE; the base case gives 14.9%. The plan therefore has to be funding-led: deposits and borrowings first, asset mix second, cost third.

1. The problem is margin, not cost

- RoA held at 1.8-2.0% for a decade. The merger moved NII from 3.83% of average assets (FY23) to 3.11% (FY26); Q2 FY27 RoA is 1.75% annualised.
- The 43 bp gap to ICICI Bank is 63 bp of NII and 25 bp of FY26's one-off provisions. HDFC Bank is already ahead on cost, other income and tax.
- Management missed its own margin range ("Margins to stay in a tight operating range (3.4-3.5%) in near and medium term"); NIM on total assets was 3.16% in Q2 FY27. The CFO now calls the bottom; Q3 FY27 tests it.

2. The base case helps, but not enough

- ₹1,93,210 cr of legacy borrowings mature within a year. Replacing 60% with deposits lifts NIM from 3.12% to 3.56% by FY29E. The base case needs borrowings to fall 3.0 points of funding a year; ICICI Bank managed 12.6 after its 2002 merger.
- The bank is asset-sensitive: +100 bp adds ₹12,569 cr to NII. The October 2026 repo hike helps only if deposit pricing holds.
- Credit cost is 0.48% against a through-the-cycle 0.69%. Normalisation costs about 10 bp of RoA and is in the base case.
- Regulation is small for the bank: the IRDAI caps cost ₹873 cr of fees by FY29E (1.3% of other income); UPI MDR adds ₹564 cr. For the group, HDFC Life's VNB nets +₹279 cr only if the bank keeps distributing.

3. Six levers close the gap; four do most of the work

Lever (FY29E, on top of base case)	RoA, bp	PAT, ₹ cr	Equity value, ₹ cr
Re-mix advances to higher-yield retail and SME	2.7	1,515	22,246
Branch and operations productivity	3.8	2,171	31,885
Rebuild CASA	3.4	1,956	28,723
Retire legacy borrowings faster	1.9	1,061	15,586
Protect bancassurance and grow card fees	1.9	1,090	16,010
Win UPI merchant acquiring share	0.4	215	3,162
All levers	**14.0**	**8,008**	**1,17,611**

Lever sizes, feasibility and timing are judgements for discussion; each is a driver change in the model, so the values are traceable.

4. What it is worth, and how the market compares it

At a 13.1% cost of equity the base case supports ₹506-576 a share against ₹700; each 10 bp of sustainable RoA is worth about ₹83,914 cr. The conclusion turns on Ke: at 12.1% or less the base case alone supports the price, and ICICI and Axis prices imply 10.6%-10.7%. Net of listed stakes the bank trades at 1.66x book against 2.09x for ICICI, Axis, Kotak and SBI, despite higher RoA; the gap is funding (credit-deposit ratio 96% vs 89%, CASA 32% vs 37%).

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5. Is 2% the right target?

Yes, as an operating target. At FY29E leverage of 7.8x, 2.0% RoA buys 15.7% RoE; earning the cost of equity needs only 1.68%. The price asks for 2.14%, or 1.82% once the excess Tier 1 is returned.

6. Three decisions for the CEO

1. **Grow loans with deposits, not ahead of them.** Each point of loan growth is worth 3.8 bp of FY29E RoA, and below 13.4% the case misses 2%; but the credit-deposit ratio has to keep falling while borrowings run off.
2. **Hold the term-deposit price; rebuild CASA.** A premium of 18 bp over the system rate erases the 2.4 bp headroom; if CASA keeps its recent pace, 8.2 bp of RoA is at risk.
3. **Keep the excess capital through the ECL transition, then return it.** Returning ₹1,09,116 cr lifts RoE by 1.9 points but costs ₹36,495 cr of value; day-one ECL uses 0.71 points of CET1.

First hundred days and the main risk

Our Q3 FY27 calls, registered before the results: credit-deposit ratio 94.5%; borrowings 11.1% of funding; CASA 32.3%; NIM 3.20%; credit cost 50 bp. The main risk is CASA, not the run-off: ICICI and IDFC First raised CASA by 13 and 33 points after their mergers; HDFC Bank's has fallen 4.4.

Method and sources: models/HDFC_RoA_Path_FY29.xlsx and the site's appendix. Public data only: HDFC Bank IR26 and investor decks, peer decks, RBI, NPCI, IRDAI, Screener.

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